

WHAT'S EXPECTED

▶ **Dividends from PSUs to remain a key focus, disinvestments likely to take a back seat, IDBI Bank stake sale seen to be completed in FY26**

▶ **Fiscal consolidation road map based on central government debt reduction may take longer to be rolled out**

▶ **I-T Act review may take longer, some simplification moves may be part of Budget**

▶ **Full-fledged roll-out of PM Internship expected in FY26 based on learnings from pilot**

▶ **Review of customs duty rates and exemptions on several items likely**



“In FY25, the fiscal deficit may do slightly better than the targeted 4.9% given the huge dividend transfer from RBI, better GST revenues, as well as savings from capex”

MADAN SABNAVIS
CHIEF ECONOMIST, BANK OF BARODA



“While Q2FY25 GDP growth was the bottom of the barrel hopefully, one cannot ignore the fact that economic growth seems to be moderating”

RAJANI SINHA
CHIEF ECONOMIST, CAREEDGE RATINGS

transfer from the RBI and better GST revenues as well as some savings from capex,” he says.

Tax and non-tax revenues are seen to do well both in the current and next fiscal but in a break from the past, the Centre may depend more on dividends from public sector enterprises rather than straight off disinvestment receipts in FY26.

This trend is already visible in FY25. Dividend receipts from central public sector enterprises (CPSEs) have amounted to ₹48,375.77 crore while the proceeds from disinvestment amount to ₹8,625 crore. For FY25, the Centre has estimated receipts from dividends at ₹56,000 crore, which is set to be exceeded. With the new dividend policy in place under which each CPSE would be expected to pay a minimum annual dividend of 30% of profit after tax or 4% of its net worth, dividends are likely to continue as a rich revenue source for the Centre in FY26 as well.

Meanwhile, the ₹50,000 crore from “miscellaneous capital receipts” set in Budget 2024-25 as an umbrella term for proceeds from disinvestment and asset monetisation is unlikely to be achieved. But in FY26, the big-ticket privatisation of IDBI Bank is set to finally reach culmination. A string of small disinvestments through offers for sale is also seen to take place in the next fiscal and industry and experts are hoping for some big bang stake sale announcements in FY26.

FOCUS ON REFORMS

Not just big bang reforms, but even small structural ones for ease of doing business and deregulation are likely to continue along with the focus on job creation and employment and skilling. Experts